MSFT | NASDAQ | 4 NOVEMBER 2026 | FRAMEWORK 8.0

Microsoft: monetization grows, capital intensity stays high

Microsoft combines cloud infrastructure, enterprise software, security, developer tools and distribution. The October earnings call shows faster Azure monetization and continued paid adoption across its productivity products. New capacity, supplier financing and continuing reinvestment also absorb cash and create a larger future depreciation charge.

The selected Q4 2027 ceiling is $546.13 per share. It values Q4 2027 through Q3 2028 operating profit at the established 20 times multiple and fixed 7,443 million diluted-share convention. The analytical score is 75/100; the protected Excel Base is 87. The financial model keeps stock compensation, depreciation, acquisition amortization and ordinary service costs.

The main operational question is how quickly qualified infrastructure becomes paid demand at durable unit economics. Management reports strong demand and rapid efficiency gains. The forecast also requires additional financing and new lease commitments beyond the currently disclosed balance. These assumptions are explicit throughout the cash and risk sections.

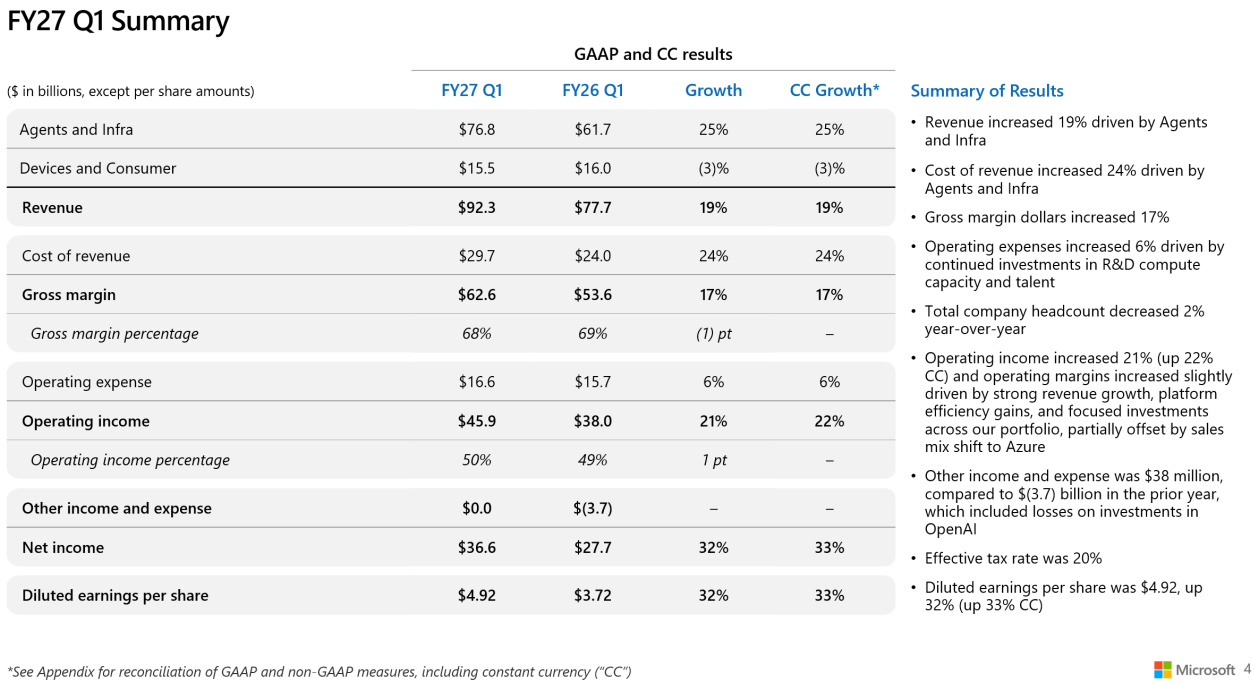
Current model	Selection
Active horizon	Q4 2027
Valuation window	Q4 2027-Q3 2028
Calculated ceiling	$546.13
Valuation basis	20x operating profit / 7,443M shares
Analytical Base	45/60 = 75
Protected Excel Base	87

ACTUAL | FY2027 Q1 / CALENDAR Q3 2026

Latest earnings anchor

Revenue reached $92.279 billion, operating profit $45.915 billion and reported net income $36.629 billion. Azure revenue grew 48%. Microsoft Cloud revenue reached $63.9 billion. The figures below come from the October 28 release, issuer financial workbook and quarterly filing. [M01, M02, M23, M24]

Calendar Q3 2026 is a preserved historical forecast in Excel. The new actual results appear in a separately identified source table and provide the opening balance and current calibration for Q4 onward.



FY27 Q1 Summary

($ in billions, except per share amounts)	GAAP and CC results FY27 Q1	FY26 Q1	Growth	CC Growth*
Agents and Infra	$76.8	$61.7	25%	25%
Devices and Consumer	$15.5	$16.0	(3)%	(3)%
Revenue	**$92.3**	**$77.7**	**19%**	**19%**
Cost of revenue	$29.7	$24.0	24%	24%
Gross margin	**$62.6**	**$53.6**	**17%**	**17%**
Gross margin percentage	*68%*	*69%*	*(1) pt*	–
Operating expense	$16.6	$15.7	6%	6%
Operating income	**$45.9**	**$38.0**	**21%**	**22%**
Operating income percentage	*50%*	*49%*	*1 pt*	–
Other income and expense	**$0.0**	**$(3.7)**	–	–
Net income	**$36.6**	**$27.7**	**32%**	**33%**
Diluted earnings per share	**$4.92**	**$3.72**	**32%**	**33%**

Summary of Results

- Revenue increased 19% driven by Agents and Infra
- Cost of revenue increased 24% driven by Agents and Infra
- Gross margin dollars increased 17%
- Operating expenses increased 6% driven by continued investments in R&D compute capacity and talent
- Total company headcount decreased 2% year-over-year
- Operating income increased 21% (up 22% CC) and operating margins increased slightly driven by strong revenue growth, platform efficiency gains, and focused investments across our portfolio, partially offset by sales mix shift to Azure
- Other income and expense was $38 million, compared to $(3.7) billion in the prior year, which included losses on investments in OpenAI
- Effective tax rate was 20%
- Diluted earnings per share was $4.92, up 32% (up 33% CC)

*See Appendix for reconciliation of GAAP and non-GAAP measures, including constant currency ("CC")

Microsoft 4

M21, slide 4. Microsoft FY2027 Q1 summary, October 28, 2026. Source values are rounded; the table uses the detailed issuer statements.

Metric	Actual USD B
Revenue	92.28
Gross profit	62.56
Operating expenses	16.64
Operating profit	45.91
Net income	36.63
CFO	58.00
Cash PP&E	39.37
CFO less cash PP&E	18.63

GUIDANCE | FY2027 Q2 / CALENDAR Q4 2026

The current guidance anchor

Management guides to $96.0-97.1 billion revenue, $32.7-32.9 billion cost of revenue and $18.5-18.6 billion operating expenses. The model selects their midpoints: $96.55 billion sales, $32.8 billion COGS and $18.55 billion operating expenses, producing $45.2 billion operating profit. [M02, M22]

July guidance for FY2027 operating margin declining by less than one percentage point remains the full-year reference. The inherited selection uses a half-point decline from FY2026. After the new actual and Q4 guide, the model calibrates a clearly identified recurring Azure capacity and supplier-cost allowance across the remaining fiscal quarters. This allowance stays fixed during later sensitivities.



M22, slide 3. Microsoft FY2027 Q2 outlook, October 28, 2026. Guidance includes the estimated voluntary exit offer; its cost is not separately disclosed.

Q4 2026 item	Low	Model	High
Revenue B	96.00	96.55	97.10
COGS B	32.70	32.80	32.90
Opex B	18.50	18.55	18.60
Model OP B		45.20	

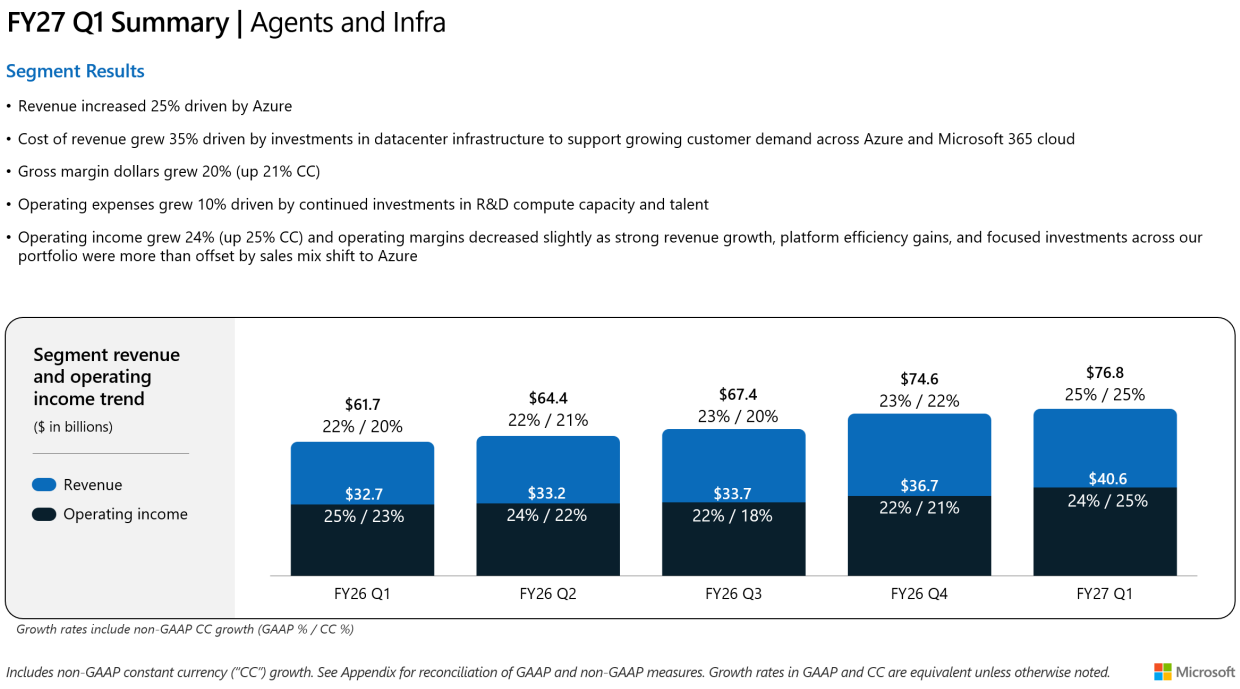
THESIS | POSITION AND SCALABILITY

A platform with several monetization layers

Azure supplies infrastructure and model access. Microsoft 365, GitHub, security, data services and workflow products monetize activity closer to enterprise users. Distribution, identity, customer data and integration raise switching costs, although customers retain competing clouds and models.

The current S-curve is an established cloud business with a faster AI workload ramp inside it. The enterprise software base is already large. Incremental inference, agent workflows and new premium usage must produce paid demand and sufficient gross profit after the associated compute and support costs.

The expansion lens covers present cloud/productivity use, later physical and enterprise agents, and longer-range ubiquitous compute. Each new application enters a modeled product receipt or a specific probability-weighted usage increment. Broad industry spending estimates supply context; customer invoices and economic costs determine the company forecast.



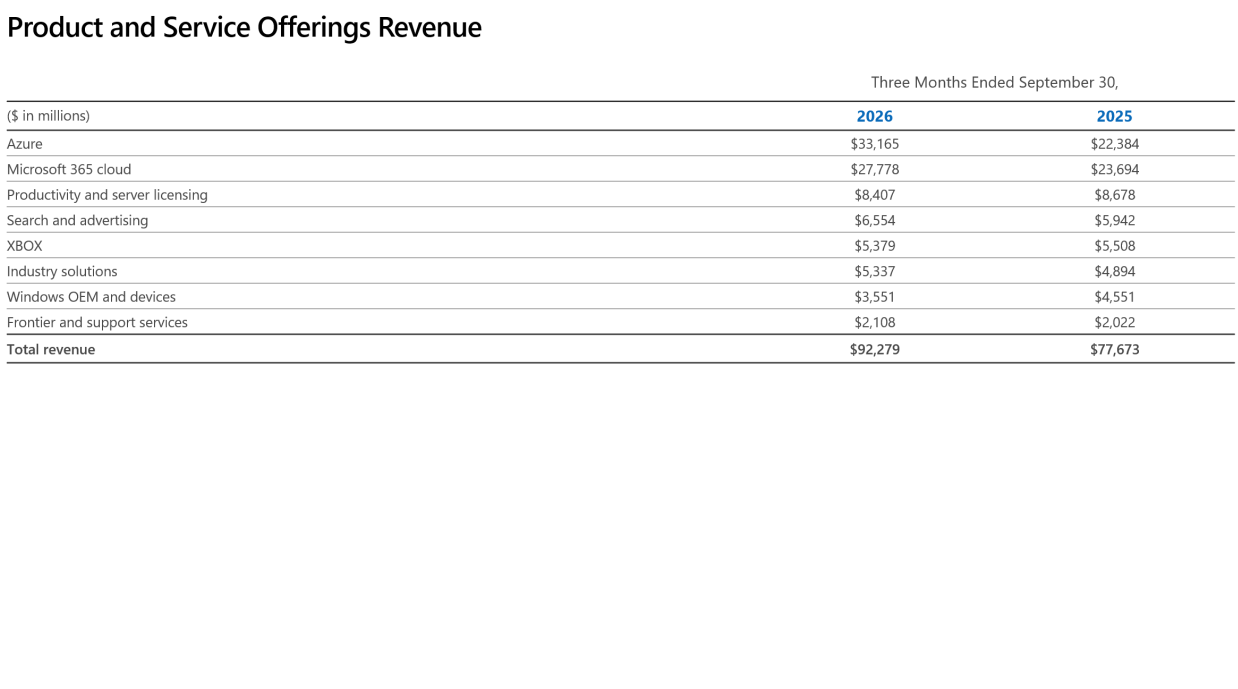
M21, slide 7. The recast Agents and Infra segment includes several connected products. Segment aggregation does not disclose the gross margin of an individual AI workload.

ACTUAL DECOMPOSITION | RECAST ISSUER HISTORY

Eight product groups, one company total

The issuer recast its product disclosures. Azure and Microsoft 365 are separately observable within the new structure, while search, Xbox, licensing, industry solutions, Windows and support retain different cycles. GitHub belongs inside the revised Microsoft 365 cloud definition; adding a separate GitHub revenue line would duplicate receipts. [M23]

The quarterly model uses year-over-year product growth against matching recast calendar quarters. Q4 Microsoft 365 revenue is the residual needed to reconcile the selected total-company midpoint after the other seven product assumptions. That allocation is explicitly a model judgment.



Product and Service Offerings Revenue

	Three Months Ended September 30,	
($ in millions)	2026	2025
Azure	$33,165	$22,384
Microsoft 365 cloud	$27,778	$23,694
Productivity and server licensing	$8,407	$8,678
Search and advertising	$6,554	$5,942
XBOX	$5,379	$5,508
Industry solutions	$5,337	$4,894
Windows OEM and devices	$3,551	$4,551
Frontier and support services	$2,108	$2,022
Total revenue	**$92,279**	**$77,673**

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M21, slide 13. Microsoft product and service revenue. Calendar and fiscal mappings are kept explicit.

Product	Q3 actual B	Q4 model B
Azure	33.16	36.07
Microsoft 365 cloud	27.78	28.70
Productivity and server licensing	8.41	8.20
Search and advertising	6.55	7.06
XBOX	5.38	6.14
Industry solutions	5.34	5.37
Windows OEM and devices	3.55	2.91
Frontier and support services	2.11	2.10

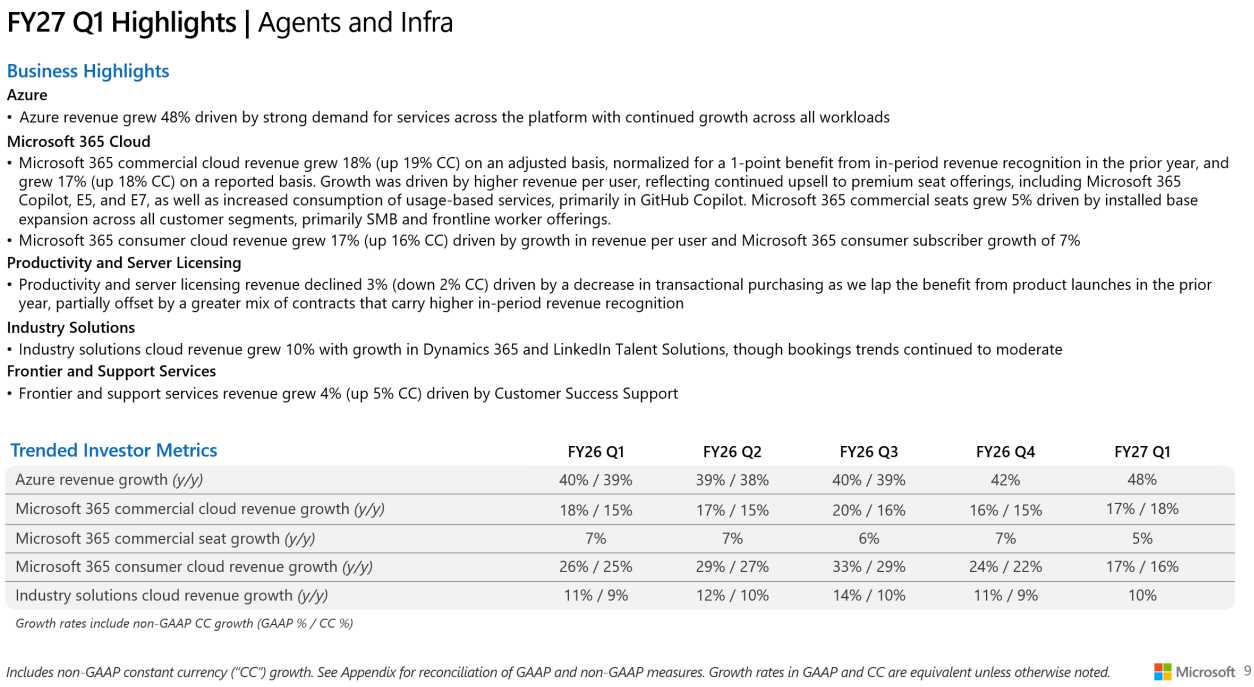
OPERATING DRIVER | INFRASTRUCTURE

Azure: efficiency and paid capacity conversion

Azure growth reached 48%, with Foundry revenue more than tripling year over year. Management attributes the upside to demand, CPU/GPU fleet efficiency, capacity utilization and higher realized revenue per token. It also says some third-party capacity deliveries moved into fiscal H2. [M02]

The selected reference growth is 49.5% for Q4 2026, then 46% and 43% over the next two quarters. Later growth moderates as the larger base and capacity economics mature. A 30% lower-conversion state realizes 85% of the selected incremental year-over-year growth from Q1 2027. Paid Azure revenue falls in that state while much of the committed capital and operating structure remains.

Absolute GPU counts, usable megawatts, workload prices and utilization are undisclosed. The model avoids converting a datacenter count directly into company sales. It uses the disclosed product revenue anchor and bounded conversion assumptions.



FY27 Q1 Highlights | Agents and Infra

Business Highlights

Azure

- Azure revenue grew 48% driven by strong demand for services across the platform with continued growth across all workloads

Microsoft 365 Cloud

- Microsoft 365 commercial cloud revenue grew 18% (up 19% CC) on an adjusted basis, normalized for a 1-point benefit from in-period revenue recognition in the prior year, and grew 17% (up 18% CC) on a reported basis. Growth was driven by higher revenue per user, reflecting continued upsell to premium seat offerings, including Microsoft 365 Copilot, E5, and E7, as well as increased consumption of usage-based services, primarily in GitHub Copilot. Microsoft 365 commercial seats grew 5% driven by installed base expansion across all customer segments, primarily SMB and frontline worker offerings.
- Microsoft 365 consumer cloud revenue grew 17% (up 16% CC) driven by growth in revenue per user and Microsoft 365 consumer subscriber growth of 7%

Productivity and Server Licensing

- Productivity and server licensing revenue declined 3% (down 2% CC) driven by a decrease in transactional purchasing as we lap the benefit from product launches in the prior year, partially offset by a greater mix of contracts that carry higher in-period revenue recognition

Industry Solutions

- Industry solutions cloud revenue grew 10% with growth in Dynamics 365 and LinkedIn Talent Solutions, though bookings trends continued to moderate

Frontier and Support Services

- Frontier and support services revenue grew 4% (up 5% CC) driven by Customer Success Support

Trended Investor Metrics	FY26 Q1	FY26 Q2	FY26 Q3	FY26 Q4	FY27 Q1
Azure revenue growth *(y/y)*	40% / 39%	39% / 38%	40% / 39%	42%	48%
Microsoft 365 commercial cloud revenue growth *(y/y)*	18% / 15%	17% / 15%	20% / 16%	16% / 15%	17% / 18%
Microsoft 365 commercial seat growth *(y/y)*	7%	7%	6%	7%	5%
Microsoft 365 consumer cloud revenue growth *(y/y)*	26% / 25%	29% / 27%	33% / 29%	24% / 22%	17% / 16%
Industry solutions cloud revenue growth *(y/y)*	11% / 9%	12% / 10%	14% / 10%	11% / 9%	10%

Growth rates include non-GAAP CC growth (GAAP % / CC %)

Includes non-GAAP constant currency ("CC") growth. See Appendix for reconciliation of GAAP and non-GAAP measures. Growth rates in GAAP and CC are equivalent unless otherwise noted. Microsoft 9

M21, slide 9. Azure and Microsoft 365 metrics, October 28, 2026. Different product definitions and constant-currency measures require careful matching.

OPERATING DRIVER | PRODUCTIVITY

Microsoft 365: premium seats plus usage

Normalized Microsoft 365 commercial cloud growth was 18% reported and 19% at constant currency, after adjusting the earlier comparison benefit. Management reports millions of paid E7 seats and accelerating paid Copilot usage. The latest call does not provide a current total paid Microsoft 365 Copilot seat count, so the July figure is retained only as dated context. [M02]

Ordinary Microsoft 365 growth already includes premium adoption. The additional usage hypothesis applies to 20% of the modeled wallet, with a 10% conditional uplift, then removes 75% overlap. Its conditional increment is 0.5% of the reference Microsoft 365 revenue, with 60% probability. Compute costs absorb 20% of that increment and support absorbs 10%. This treatment gives the usage evidence an active, bounded contribution.

FY27 Q2 Outlook Detail

Agents and Infra

Commercial bookings	• Healthy growth in our commercial sales motions, though results will be impacted by the significant Azure commitments signed in the prior year
Microsoft Cloud gross margin percentage	• Roughly 65%
Azure revenue	• Growth of 49% to 50% in constant currency
Microsoft 365 commercial cloud revenue	• Growth of approximately 19% in constant currency, FX expected to reduce reported growth by less than 1 point
Microsoft 365 consumer cloud revenue	• Growth in low-teens
Productivity and server licensing revenue	• Decline in mid- to high-single digits
Industry solutions cloud revenue	• Growth in mid- to high-single digits
Frontier and support services revenue	• Growth in low- to mid-single digits

Devices and Consumer

Search and advertising revenue (ex TAC)	• Growth in low-double digits
XBOX revenue	• Content and services revenue expected to grow in mid- to high-single digits • Hardware revenue should decline year-over-year
Windows OEM and devices revenue	• Decline in mid-thirties

Microsoft 4

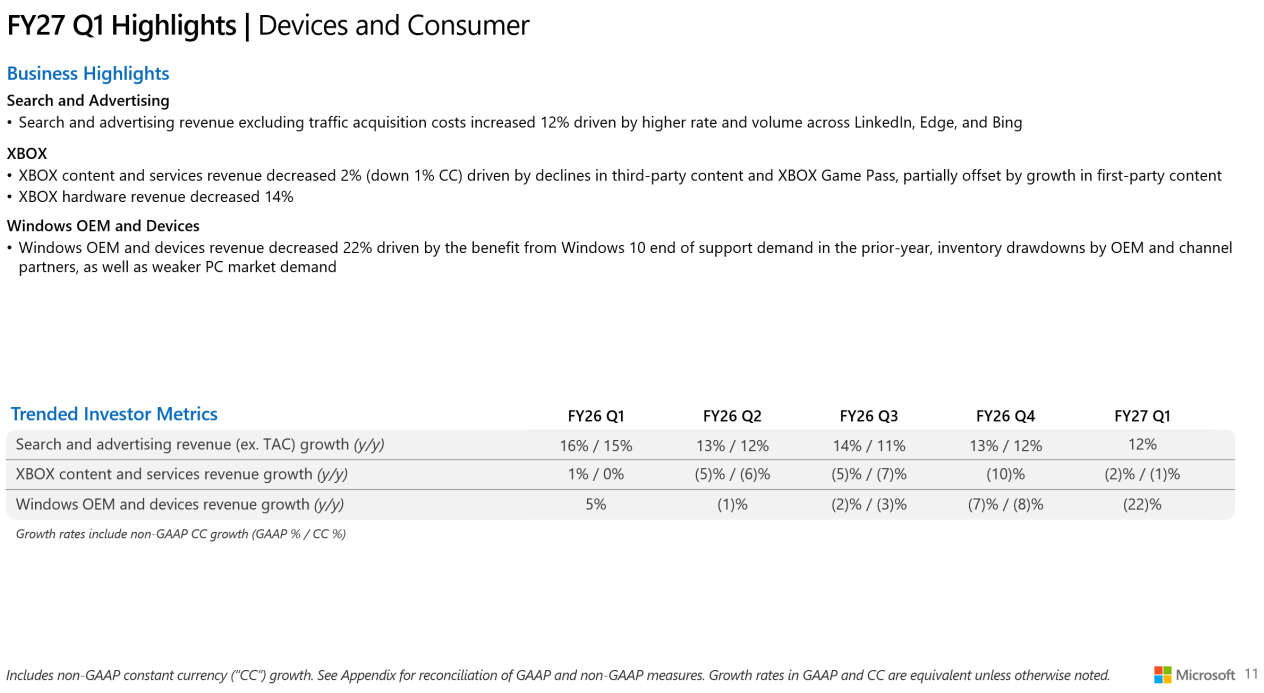
M22, slide 4. Product-specific outlook for FY2027 Q2. Microsoft 365 commercial and consumer outlooks differ; the financial model uses the disclosed total-company anchor.

OPERATING DRIVER | DEVICES AND CONSUMER

Consumer products retain a separate cycle

Windows OEM and Devices revenue declined 22%, with the OEM component down 27% reported. Elevated channel inventories, PC demand and comparisons against Windows 10 end-of-support spending drive the current weakness. The model selects a 35% decline for Q4 and a gradual subsequent recovery. [M02, M24]

Xbox content and services declined 2%. Management expects stronger fiscal Q2 release timing followed by moderation. The combined Xbox product line also includes hardware, so the model uses a smaller 3% total-product increase in Q4. Search, advertising and support follow their own disclosed drivers.



FY27 Q1 Highlights | Devices and Consumer

Business Highlights

Search and Advertising
- Search and advertising revenue excluding traffic acquisition costs increased 12% driven by higher rate and volume across LinkedIn, Edge, and Bing

XBOX
- XBOX content and services revenue decreased 2% (down 1% CC) driven by declines in third-party content and XBOX Game Pass, partially offset by growth in first-party content
- XBOX hardware revenue decreased 14%

Windows OEM and Devices
- Windows OEM and devices revenue decreased 22% driven by the benefit from Windows 10 end of support demand in the prior-year, inventory drawdowns by OEM and channel partners, as well as weaker PC market demand

Trended Investor Metrics	FY26 Q1	FY26 Q2	FY26 Q3	FY26 Q4	FY27 Q1
Search and advertising revenue (ex. TAC) growth *(y/y)*	16% / 15%	13% / 12%	14% / 11%	13% / 12%	12%
XBOX content and services revenue growth *(y/y)*	1% / 0%	(5)% / (6)%	(5)% / (7)%	(10)%	(2)% / (1)%
Windows OEM and devices revenue growth *(y/y)*	5%	(1)%	(2)% / (3)%	(7)% / (8)%	(22)%

Growth rates include non-GAAP CC growth (GAAP % / CC %)

Includes non-GAAP constant currency ("CC") growth. See Appendix for reconciliation of GAAP and non-GAAP measures. Growth rates in GAAP and CC are equivalent unless otherwise noted. Microsoft 11

M21, slide 11. Devices and Consumer operating metrics. Hardware, content and total-product definitions are distinct.

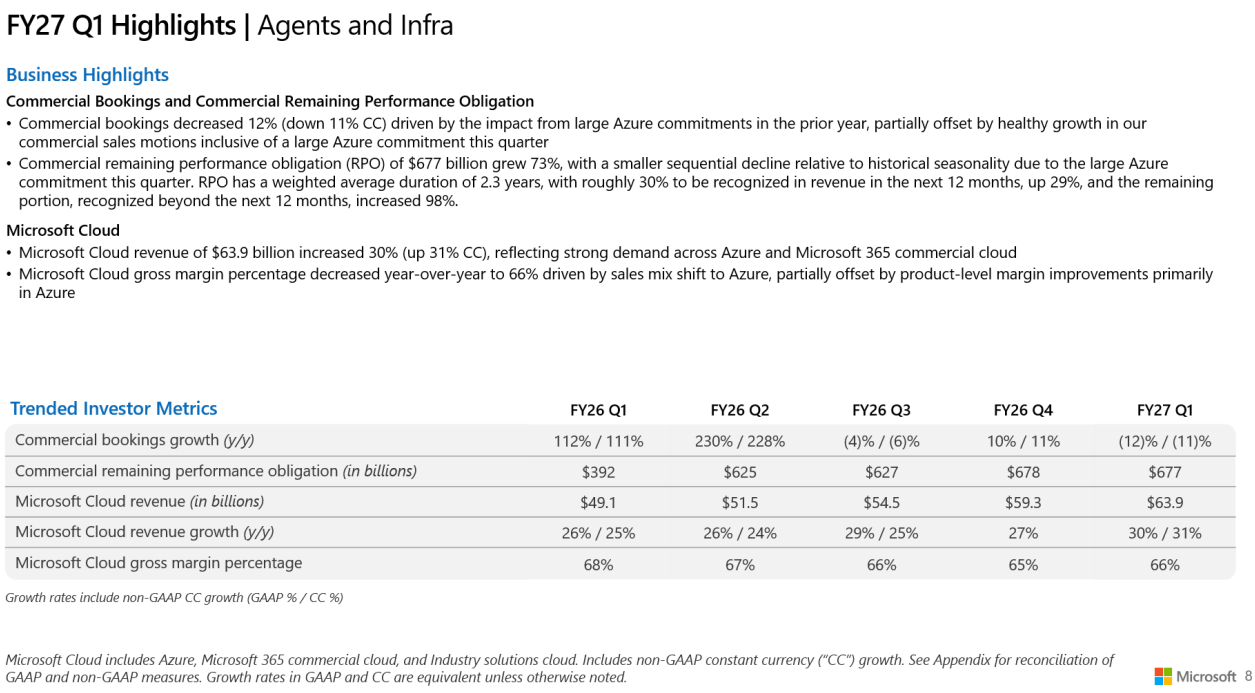
CONTRACTS | CONVERSION AND CUSTOMER CONCENTRATION

Backlog supplies visibility with conditions

Commercial remaining performance obligations were approximately $677 billion, with a weighted average duration of 2.3 years. Approximately 30% is expected to convert within 12 months. Large Azure commitments create volatility in bookings and backlog growth. The forecast recognizes backlog through the product receipts supported by contract terms and delivery. [M02]

The quarterly filing identifies $10.0 billion of OpenAI revenue and a $7.2 billion receivable. Revenue sharing, hosting and other commercial arrangements can have different economics. The model therefore avoids treating the entire disclosed OpenAI revenue amount as a homogeneous GPU rental contract.

Broader model choice and enterprise adoption support the platform. Concentrated customers, counterparties and financing requirements remain relevant risks even when total backlog is growing.



FY27 Q1 Highlights | Agents and Infra

Business Highlights

Commercial Bookings and Commercial Remaining Performance Obligation

- Commercial bookings decreased 12% (down 11% CC) driven by the impact from large Azure commitments in the prior year, partially offset by healthy growth in our commercial sales motions inclusive of a large Azure commitment this quarter
- Commercial remaining performance obligation (RPO) of $677 billion grew 73%, with a smaller sequential decline relative to historical seasonality due to the large Azure commitment this quarter. RPO has a weighted average duration of 2.3 years, with roughly 30% to be recognized in revenue in the next 12 months, up 29%, and the remaining portion, recognized beyond the next 12 months, increased 98%.

Microsoft Cloud

- Microsoft Cloud revenue of $63.9 billion increased 30% (up 31% CC), reflecting strong demand across Azure and Microsoft 365 commercial cloud
- Microsoft Cloud gross margin percentage decreased year-over-year to 66% driven by sales mix shift to Azure, partially offset by product-level margin improvements primarily in Azure

Trended Investor Metrics	FY26 Q1	FY26 Q2	FY26 Q3	FY26 Q4	FY27 Q1
Commercial bookings growth *(y/y)*	112% / 111%	230% / 228%	(4)% / (6)%	10% / 11%	(12)% / (11)%
Commercial remaining performance obligation *(in billions)*	$392	$625	$627	$678	$677
Microsoft Cloud revenue *(in billions)*	$49.1	$51.5	$54.5	$59.3	$63.9
Microsoft Cloud revenue growth *(y/y)*	26% / 25%	26% / 24%	29% / 25%	27%	30% / 31%
Microsoft Cloud gross margin percentage	68%	67%	66%	65%	66%

Growth rates include non-GAAP CC growth (GAAP % / CC %)

Microsoft Cloud includes Azure, Microsoft 365 commercial cloud, and Industry solutions cloud. Includes non-GAAP constant currency ("CC") growth. See Appendix for reconciliation of GAAP and non-GAAP measures. Growth rates in GAAP and CC are equivalent unless otherwise noted.

Microsoft 8

M21, slide 8. Commercial bookings, RPO and Microsoft Cloud metrics. These indicators overlap the product revenue forecast and receive no duplicate sales addition.

RULE 16b | CONDITIONAL ECONOMICS

One probability ledger for incremental outcomes

The active forecast averages four coherent operating and cash paths. The selected marginal probability of the reference Azure conversion path is 70%; the probability of additional Microsoft 365 usage is 60%. Their joint probability is 42% in the base model, an explicit independence assumption. Separate correlation tests hold the marginals fixed.

The lower Azure path keeps the reference capital programme and recognizes lower paid conversion. The Microsoft 365 increment receives its own compute and support costs. An undated cropped capacity tracker retains a zero active increment because its physical scope above the reference remains unresolved after a bounded proxy review; the new issuer evidence already enters the Azure forecast.

Joint path	Probability	Economic condition
conversion_core	28.0%	Reference Azure conversion
conversion_usage	42.0%	Reference Azure conversion plus additional M365 usage
lower_core	12.0%	Lower Azure conversion
lower_usage	18.0%	Lower Azure conversion plus additional M365 usage

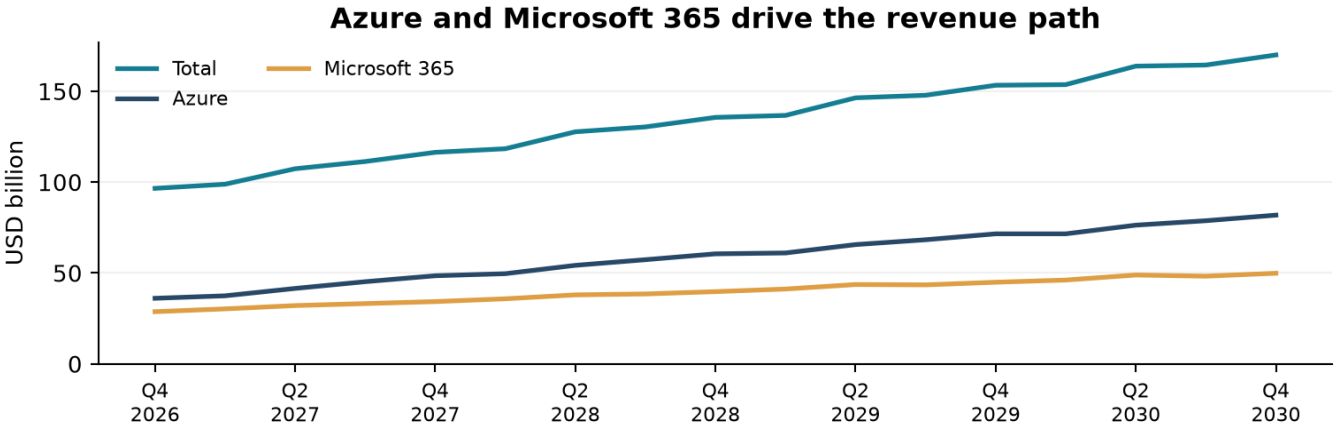
Signal	Numerical selection	Increment and overlap
Azure conversion	70% reference / 30% lower	Lower state realizes85% of selected extra YoY growth
Additional M365 usage	60%	20% wallet ×10% uplift ×25% non-overlap
Incremental costs	30% of M365 increment	20% compute +10% support
Cropped GW tracker	0 active revenue	Positive thesis probability; no demonstrated extra usable capacity above reference

MODEL | CURRENT AND FUTURE QUARTERS

Revenue forecast and mix

The product curves remain explicitly forecast assumptions after the management-guided quarter. The model does not extend the latest Azure growth rate indefinitely. Microsoft 365, support, search and other products retain separate growth paths.

The adjacent figure and tables are generated directly from the same approved model that supplies the workbook. Amounts are USD billions; complete machine-readable values are retained in the linked model.



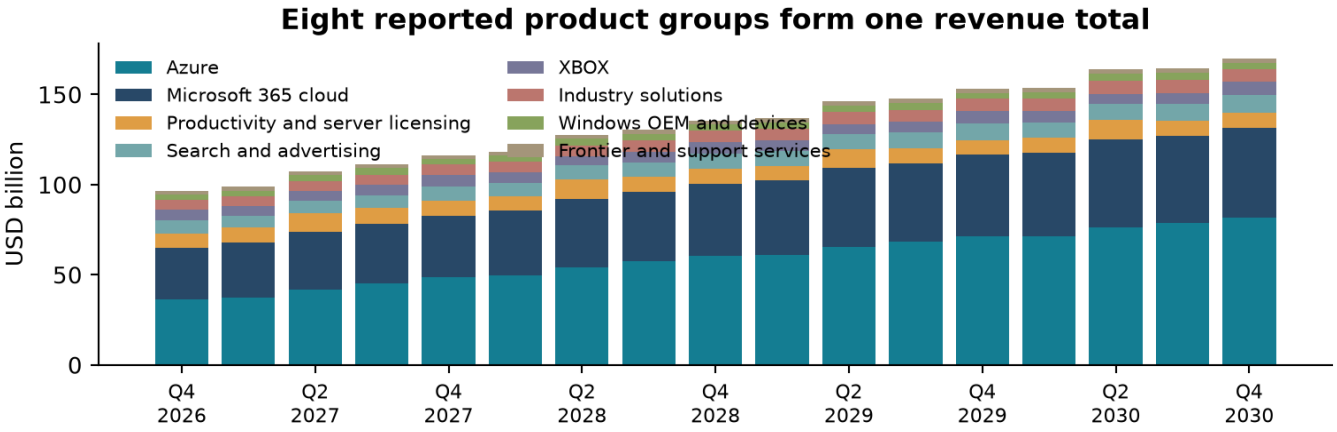
Model forecast, Q4 2026-Q4 2030. The latest actuals are shown separately. The first quarter is guidance-derived; subsequent quarters reflect selected assumptions.

Quarter	Total	Azure	M365
Q4 2026	96.55	36.07	28.70
Q1 2027	98.83	37.43	30.25
Q2 2027	107.34	41.50	32.07
Q3 2027	111.32	45.20	33.15
Q4 2027	116.37	48.47	34.25
Q1 2028	118.35	49.61	35.80
Q2 2028	127.66	54.20	37.95
Q3 2028	130.35	57.30	38.46
Q4 2028	135.59	60.53	39.73
Q1 2029	136.68	61.01	41.17
Q2 2029	146.36	65.62	43.64
Q3 2029	147.77	68.28	43.46
Q4 2029	153.27	71.54	44.90
Q1 2030	153.62	71.54	46.11
Q2 2030	163.80	76.31	48.88
Q3 2030	164.40	78.74	48.24
Q4 2030	169.94	81.81	49.84

MODEL | EIGHT RECEIPT VECTORS

The full product mix remains visible

Product mix affects economics as well as scale. A greater Azure mix can raise absolute gross profit while putting pressure on consolidated percentage margins. Consumer and licensing receipts retain their own seasonal behavior.



Eight distinct issuer-aligned product groups; the bars reconcile to total modeled revenue. No separate GitHub or OpenAI addition is stacked on this total.

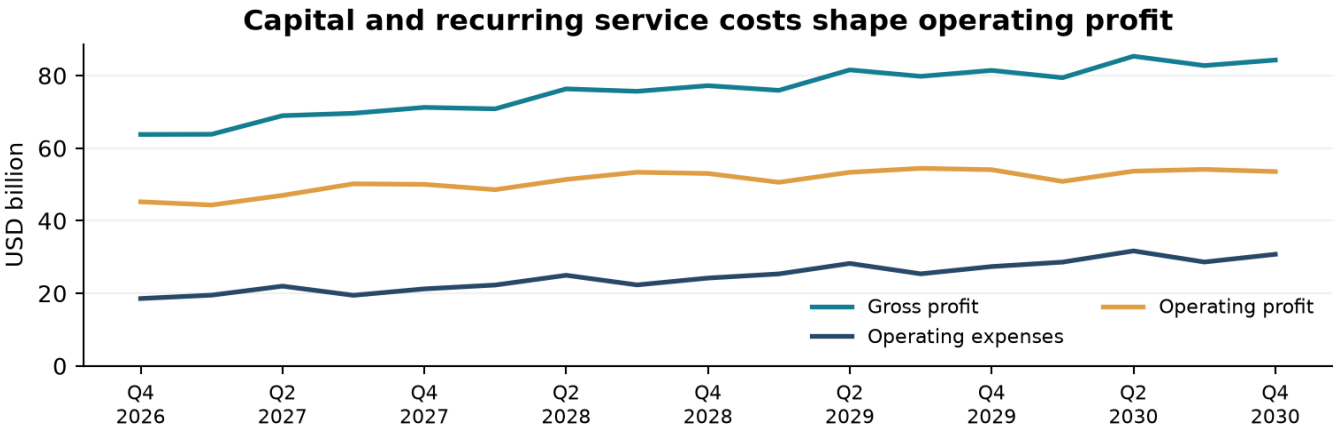
Quarter	Licensing	Search / ads	Xbox	Industry	Windows	Support
Q4 2026	8.20	7.06	6.14	5.37	2.91	2.10
Q1 2027	8.32	6.67	5.45	5.53	3.03	2.15
Q2 2027	10.59	7.08	4.98	5.66	3.29	2.18
Q3 2027	8.58	7.21	5.65	5.76	3.55	2.21
Q4 2027	8.28	7.77	6.44	5.80	3.15	2.20
Q1 2028	8.32	7.34	5.72	5.97	3.33	2.26
Q2 2028	10.59	7.79	5.18	6.12	3.55	2.29
Q3 2028	8.58	7.86	5.87	6.23	3.73	2.32
Q4 2028	8.28	8.47	6.70	6.26	3.30	2.31
Q1 2029	8.24	8.00	5.95	6.45	3.50	2.37
Q2 2029	10.49	8.49	5.39	6.60	3.73	2.40
Q3 2029	8.58	8.49	6.05	6.66	3.84	2.42
Q4 2029	8.28	9.15	6.90	6.70	3.40	2.41
Q1 2030	8.24	8.64	6.13	6.90	3.61	2.46
Q2 2030	10.49	9.17	5.55	7.07	3.84	2.50
Q3 2030	8.58	9.08	6.23	7.06	3.96	2.51
Q4 2030	8.28	9.79	7.11	7.10	3.50	2.50

MODEL | GROSS PROFIT TO OPERATING PROFIT

Recurring costs determine the earnings path

The model retains ordinary stock compensation, owned and finance-leased asset depreciation, finite acquisition amortization, operating-lease costs and research expenditure. Product cash-cost allocations are low-confidence proxies calibrated to current actuals and the selected Q4 guide.

The FY2027 half-point margin selection implies a fixed recurring Azure cost allowance of about $0.557 billion across the remaining fiscal H2. It represents supplier, capacity and serving costs within the annual guide. Later quarters retain that fixed coefficient in every sensitivity.



Gross profit, operating expenses and operating profit from the approved build. Future capital and lease costs prevent a fixed high-margin extrapolation.

Quarter	COGS	Gross profit	Opex	OP	OP margin
Q4 2026	32.80	63.75	18.55	45.20	46.8%
Q1 2027	35.03	63.80	19.48	44.32	44.8%
Q2 2027	38.42	68.93	21.96	46.97	43.8%
Q3 2027	41.73	69.59	19.44	50.15	45.1%
Q4 2027	45.16	71.21	21.21	50.00	43.0%
Q1 2028	47.53	70.81	22.27	48.55	41.0%
Q2 2028	51.35	76.31	24.95	51.36	40.2%
Q3 2028	54.71	75.64	22.30	53.34	40.9%
Q4 2028	58.40	77.19	24.19	53.00	39.1%
Q1 2029	60.78	75.91	25.33	50.57	37.0%
Q2 2029	64.82	81.54	28.21	53.33	36.4%
Q3 2029	68.00	79.77	25.35	54.42	36.8%
Q4 2029	71.88	81.40	27.36	54.04	35.3%
Q1 2030	74.22	79.39	28.58	50.81	33.1%
Q2 2030	78.49	85.30	31.66	53.64	32.7%
Q3 2030	81.67	82.73	28.61	54.12	32.9%
Q4 2030	85.68	84.26	30.73	53.52	31.5%

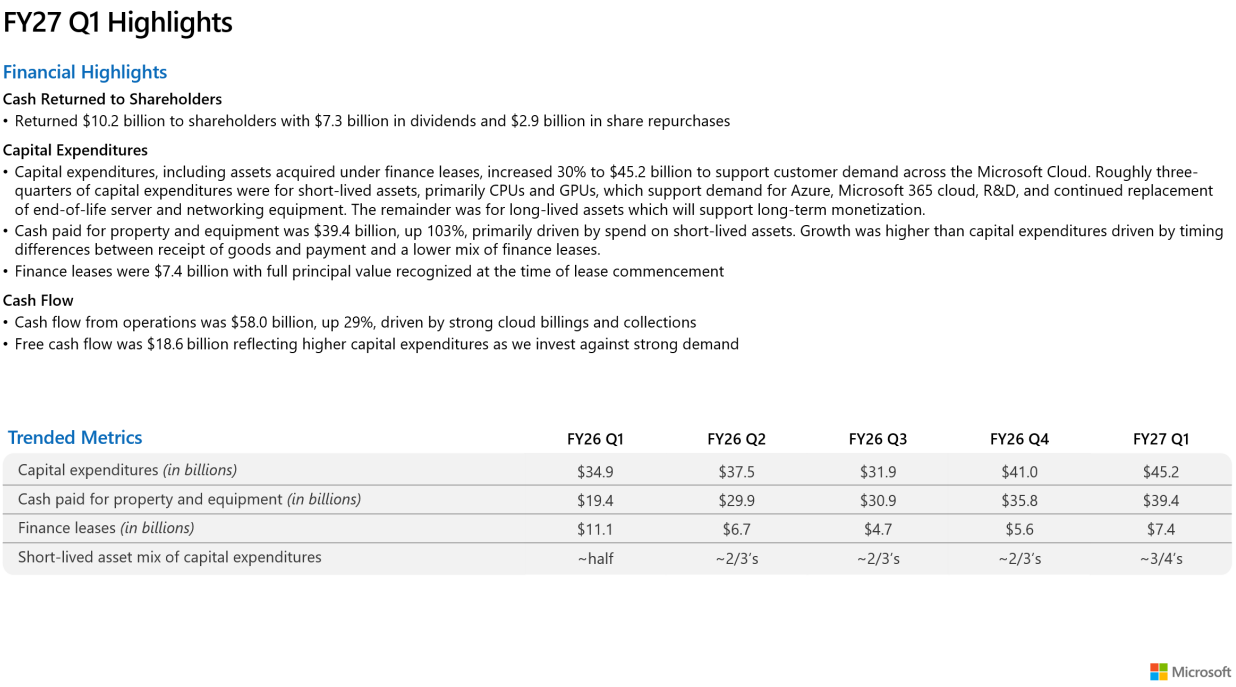
SOURCE ACCOUNTING | CASH, LEASES AND COST

Capital spending has several accounting measures

The Q1 call reports $45.2 billion capital expenditures, $7.4 billion finance leases and about $39.4 billion cash PP&E. The detailed cash statement records $39.367 billion cash PP&E, while Note 12 records $5.192 billion finance-lease right-of-use additions. These measures have an unresolved timing or scope difference. They are preserved separately. [M02, M24]

Conventional free cash flow uses reported operating cash flow less cash PP&E. New finance-lease assets add a noncash asset and liability at commencement; their interest and principal become later cash flows. Operating leases have their own expense and cash schedules.

The model selects $44.0 billion Q4 cash PP&E, $6.5 billion finance-lease additions and $10.0 billion operating-lease additions. The first two sum to $50.5 billion; this is a comparison with the differently defined call guidance above $50 billion.



FY27 Q1 Highlights

Financial Highlights

Cash Returned to Shareholders

- Returned $10.2 billion to shareholders with $7.3 billion in dividends and $2.9 billion in share repurchases

Capital Expenditures

- Capital expenditures, including assets acquired under finance leases, increased 30% to $45.2 billion to support customer demand across the Microsoft Cloud. Roughly three-quarters of capital expenditures were for short-lived assets, primarily CPUs and GPUs, which support demand for Azure, Microsoft 365 cloud, R&D, and continued replacement of end-of-life server and networking equipment. The remainder was for long-lived assets which will support long-term monetization.
- Cash paid for property and equipment was $39.4 billion, up 103%, primarily driven by spend on short-lived assets. Growth was higher than capital expenditures driven by timing differences between receipt of goods and payment and a lower mix of finance leases.
- Finance leases were $7.4 billion with full principal value recognized at the time of lease commencement

Cash Flow

- Cash flow from operations was $58.0 billion, up 29%, driven by strong cloud billings and collections
- Free cash flow was $18.6 billion reflecting higher capital expenditures as we invest against strong demand

Trended Metrics	FY26 Q1	FY26 Q2	FY26 Q3	FY26 Q4	FY27 Q1
Capital expenditures *(in billions)*	$34.9	$37.5	$31.9	$41.0	$45.2
Cash paid for property and equipment *(in billions)*	$19.4	$29.9	$30.9	$35.8	$39.4
Finance leases *(in billions)*	$11.1	$6.7	$4.7	$5.6	$7.4
Short-lived asset mix of capital expenditures	~half	~2/3's	~2/3's	~2/3's	~3/4's

Microsoft 6

M21, slide 6. Reported capital and cash-flow indicators. The separate statement and Note 12 measures should be reconciled by scope before comparison.

Q1 source measure	USD B
Call capital expenditures	45.20
Call finance leases	7.40
Cash PP&E	39.37
Note12 finance ROU additions	5.19
Cash PP&E plus Note12 ROU	44.56

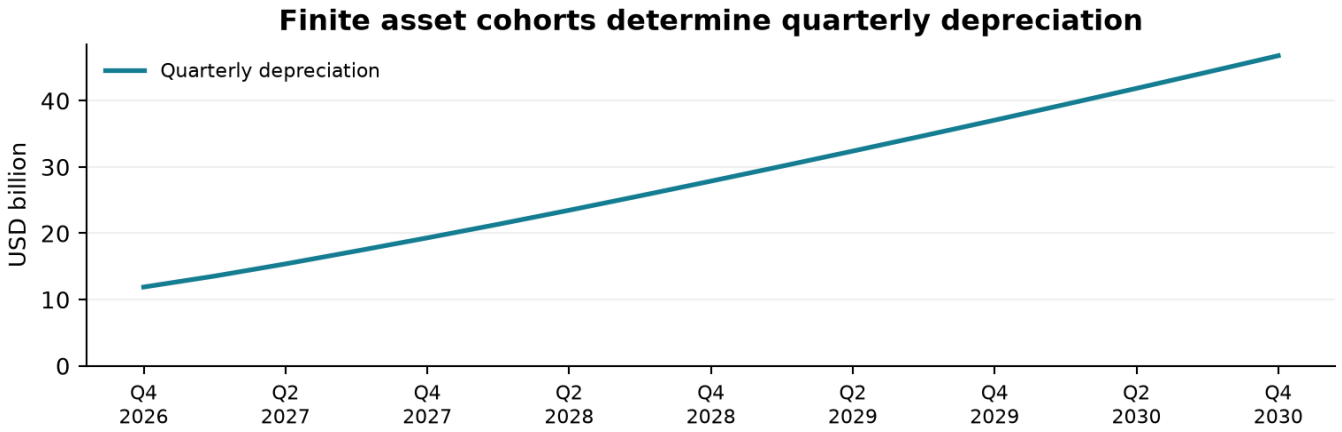
MODEL | OWNED ASSETS AND ACQUISITIONS

Finite assets produce future depreciation

Buildings use the updated 25-year assumption; the server assumption remains six years. The July call applies the useful-life change to datacenter and office buildings and describes a minimal operating-profit benefit already included in guidance. GPUs do not receive the building life. [M03]

New cash PP&E is split into servers, buildings and land. The model applies a half-quarter first depreciation charge, then amortizes each cohort over its selected finite life. Acquisition intangibles also have a finite remaining amortization schedule. Existing asset books can never be depreciated below zero.

Actual Note6 depreciation plus rounded Note8 amortization differs from the cash statement combined adjustment. The source residual remains explicit; the forecast uses individually modeled depreciation and amortization without forcing a false historical equality.



Forecast quarterly depreciation. The accompanying table shows net PP&E and finite acquisition amortization; shorter server life or a larger capital programme changes future expense through the same asset cohorts.

Quarter	Net PP&E	Depreciation	PPA amortization
Q4 2026	385.46	11.89	0.71
Q1 2027	427.92	13.54	0.71
Q2 2027	475.04	15.38	0.71
Q3 2027	520.72	17.32	0.54
Q4 2027	566.41	19.31	0.54
Q1 2028	612.05	21.36	0.54
Q2 2028	657.58	23.47	0.54
Q3 2028	702.94	25.65	0.49
Q4 2028	747.07	27.86	0.49
Q1 2029	789.96	30.11	0.49
Q2 2029	831.57	32.39	0.49
Q3 2029	871.86	34.71	0.37
Q4 2029	910.80	37.06	0.37
Q1 2030	948.36	39.44	0.37
Q2 2030	984.51	41.85	0.37
Q3 2030	1,019.21	44.30	0.29
Q4 2030	1,052.43	46.78	0.29

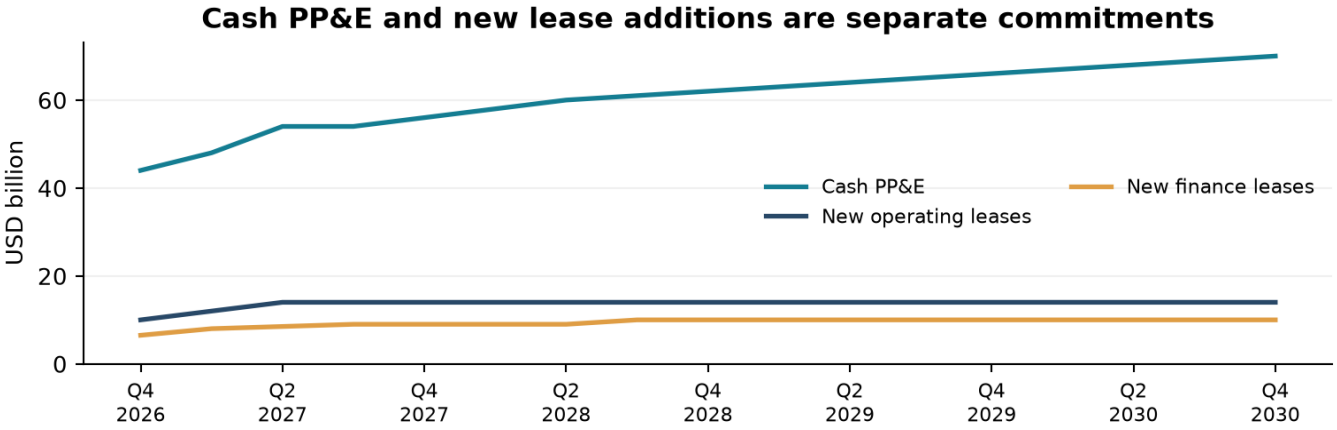
MODEL | CONTRACTED AND ASSUMED FUTURE CAPACITY

Lease commitments require a funding plan

The filing reports $364.6 billion undiscounted uncommenced lease commitments, with starts from FY2027 through FY2034 and terms of one to twenty years. It does not disclose the precise timing or asset mix required by the forecast. [M24]

The selected programme adds $232 billion operating-lease present value and $159 billion finance-lease present value. Its full modeled payments total about $484.185 billion. The difference of about $119.585 billion above the disclosed balance represents assumed future unsigned gross commitments even if the full reported balance were used. The commitment figure and model present values also use different measurement bases.

New lease additions are therefore a financing and execution assumption. Zero-new-lease and other sensitivities show the effect of reducing this assumed programme. New facilities also need power, equipment, staff and paid utilization.



Cash PP&E and lease commencements are modeled separately. Source future lease timing remains undisclosed; the forecast includes assumed new contracts.

Quarter	Cash PP&E	New operating leases	New finance leases
Q4 2026	44.00	10.00	6.50
Q1 2027	48.00	12.00	8.00
Q2 2027	54.00	14.00	8.50
Q3 2027	54.00	14.00	9.00
Q4 2027	56.00	14.00	9.00
Q1 2028	58.00	14.00	9.00
Q2 2028	60.00	14.00	9.00
Q3 2028	61.00	14.00	10.00
Q4 2028	62.00	14.00	10.00
Q1 2029	63.00	14.00	10.00
Q2 2029	64.00	14.00	10.00
Q3 2029	65.00	14.00	10.00
Q4 2029	66.00	14.00	10.00
Q1 2030	67.00	14.00	10.00
Q2 2030	68.00	14.00	10.00
Q3 2030	69.00	14.00	10.00
Q4 2030	70.00	14.00	10.00

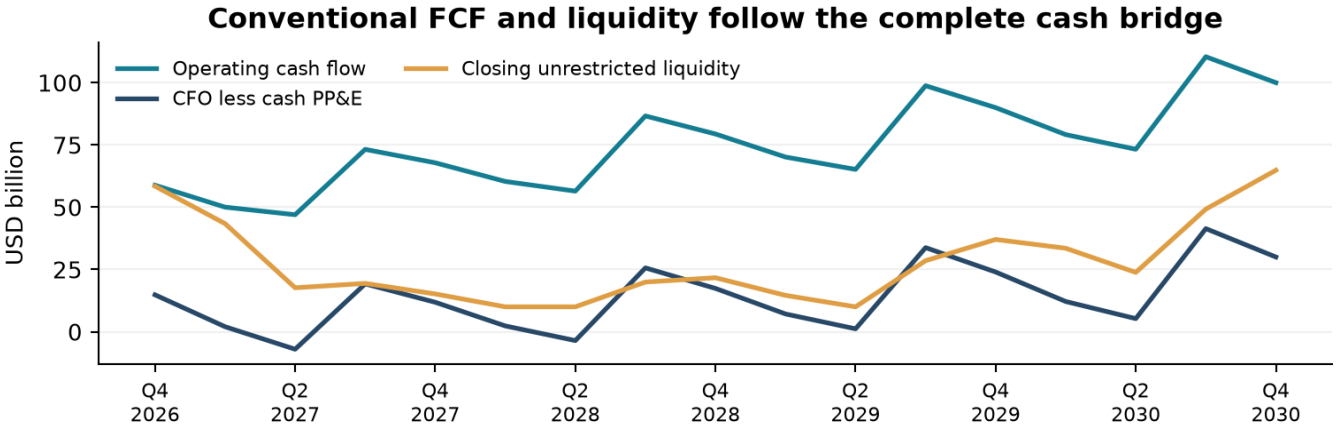
MODEL | CONVENTIONAL FREE CASH FLOW

Cash flow and opening liquidity

The starting cash plus short-term-investment balance is $64.509 billion. A $4.0 billion restricted supplier investment sits inside short-term investments, leaving $60.509 billion usable opening liquidity. The full restricted supplier-investment balance is $12.6 billion and remains separately tracked. [M24]

The conventional FCF series equals modeled CFO less cash PP&E. Supplier component advances and later recoveries are tracked as separate investing cash flows. The source filing identifies other investing cash used to facilitate component purchases. The forecast selects a four-quarter recovery lag and new advances equal to 25% of cash PP&E, both low-confidence assumptions.

Operating cash flow includes tax cash, ordinary working capital, stock compensation and the lease cash/expense reconciliation. Deposits and deferred receipts carry future delivery obligations; they supply no extra revenue.



The model distinguishes conventional FCF from total liquidity after supplier financing, dividends, repurchases and new borrowing.

Quarter	CFO	Cash PP&E	Conventional FCF	Usable closing liquidity
Q4 2026	58.82	44.00	14.82	58.43
Q1 2027	50.01	48.00	2.01	43.39
Q2 2027	46.97	54.00	-7.03	17.65
Q3 2027	73.21	54.00	19.21	19.40
Q4 2027	67.83	56.00	11.83	15.17
Q1 2028	60.33	58.00	2.33	10.00
Q2 2028	56.45	60.00	-3.55	10.00
Q3 2028	86.63	61.00	25.63	19.94
Q4 2028	79.38	62.00	17.38	21.68
Q1 2029	70.13	63.00	7.13	14.60
Q2 2029	65.17	64.00	1.17	10.00
Q3 2029	98.76	65.00	33.76	28.52
Q4 2029	89.96	66.00	23.96	37.04
Q1 2030	79.14	67.00	12.14	33.51
Q2 2030	73.26	68.00	5.26	23.82
Q3 2030	110.39	69.00	41.39	49.22
Q4 2030	100.00	70.00	30.00	64.82

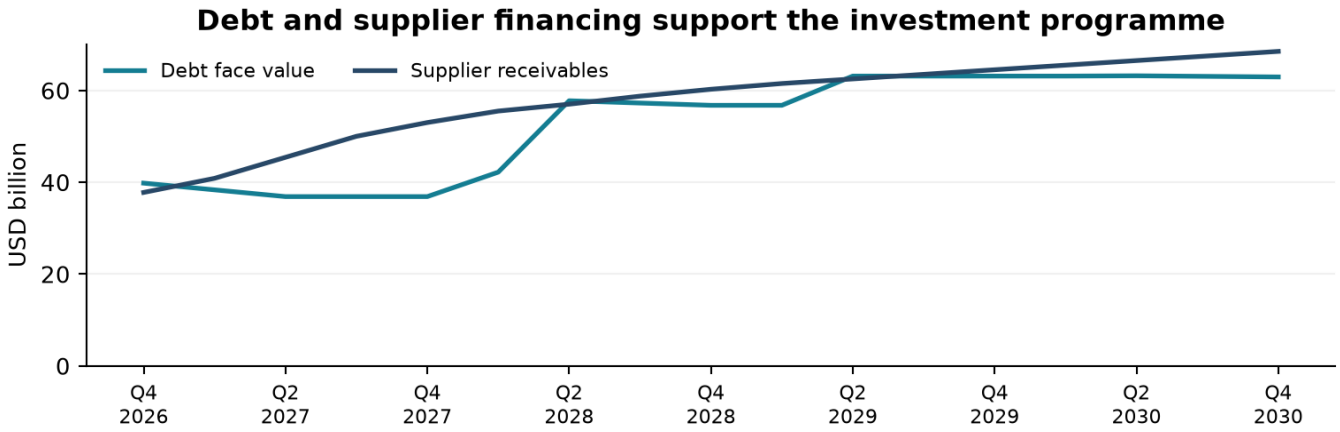
MODEL | DEBT AND SUPPLIER CASH

Financing is an explicit forecast condition

Management expects positive FY2027 free cash flow and says additional attractive financing is available. The forecast tests that statement with the operating and cash build. The current paths produce positive fiscal-year conventional FCF, including the reported first quarter. [M02]

The full modeled capital programme later needs approximately $21.1-45.2 billion cumulative new borrowing across the four paths. The model uses a5% coupon assumption, a$10 billion liquidity floor and a$25 billion per-quarter borrowing cap. These are forecast conditions and underwriting assumptions; the source does not establish committed facilities at those exact amounts.

Discretionary program repurchases reduce before the model draws debt to defend its liquidity floor. A no-new-debt stress exposes a maximum cash-floor shortfall of about $38.3 billion in the lower_core path. Debt face value, carrying-value diagnostics and lease liabilities remain separate measures.



Forecast debt and supplier working capital. Borrowing is conditional and enters interest costs; restricted funds are excluded from usable liquidity.

Quarter	Debt face	New borrowing	Supplier receivables	Restricted collateral
Q4 2026	39.80	0.00	37.77	12.60
Q1 2027	38.34	0.00	40.85	12.60
Q2 2027	36.87	0.00	45.42	12.60
Q3 2027	36.87	0.00	50.00	12.60
Q4 2027	36.87	0.00	53.00	12.60
Q1 2028	42.19	5.32	55.50	12.60
Q2 2028	57.75	15.55	57.00	12.60
Q3 2028	57.25	0.00	58.75	12.60
Q4 2028	56.75	0.00	60.25	12.60
Q1 2029	56.76	0.50	61.50	12.60
Q2 2029	63.12	6.86	62.50	12.60
Q3 2029	63.12	0.00	63.50	12.60
Q4 2029	63.12	0.00	64.50	12.60
Q1 2030	63.12	0.00	65.50	12.60
Q2 2030	63.18	0.06	66.50	12.60
Q3 2030	63.06	0.00	67.50	12.60
Q4 2030	62.93	0.00	68.50	12.60

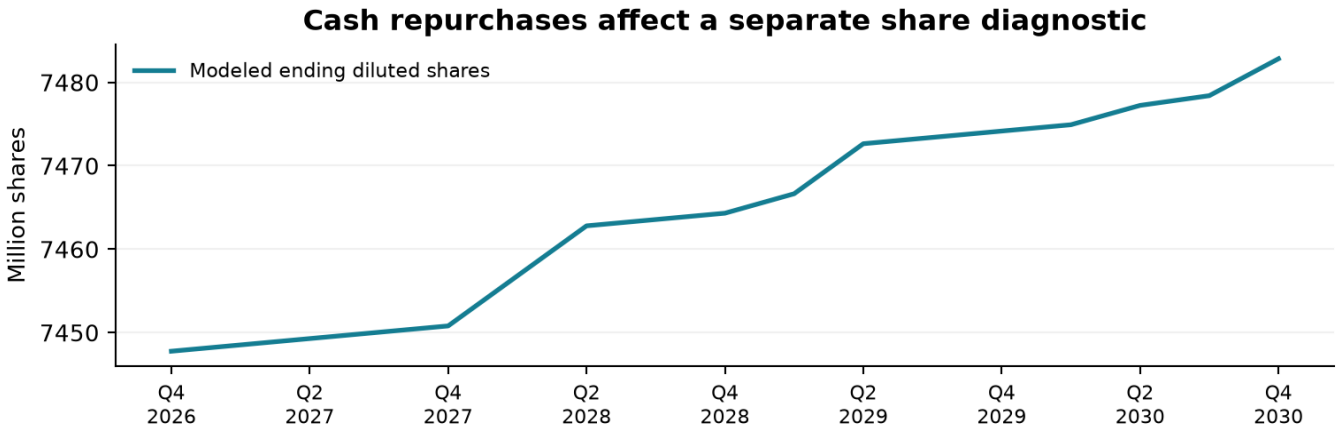
MODEL | DIVIDENDS, BUYBACKS AND DILUTION

Cash returns and share conventions

The ordinary declared dividend is $0.98 per share. Cash payments follow the modeled dividend payable, so declaration and payment dates can differ. Program repurchases use the remaining authorization and an explicit reference price solely for the share diagnostic.

The sanctioned valuation denominator remains fixed at 7,443 million shares. Actual issuer counts and the modeled cash-return share path are displayed separately. This preserves the existing method while making issuance, withholding cash and buyback economics visible.

The source quarter distinguishes total cash-flow repurchases, tax-withholding settlements and repurchases under the formal program. Each classification is retained; the call rounded shareholder-return figure is not forced to equal a differently defined statement total.



Ending diluted-share diagnostic; the vertical axis magnifies the small change. The valuation continues to use the separately protected fixed7,443 million-share convention.

Quarter	Dividends paid B	Buybacks B	Ending diluted diagnostic M
Q4 2026	7.28	2.92	7,447.76
Q1 2027	7.28	2.92	7,448.52
Q2 2027	7.29	2.92	7,449.28
Q3 2027	7.29	2.92	7,450.03
Q4 2027	7.29	2.92	7,450.79
Q1 2028	7.29	0.00	7,456.79
Q2 2028	7.29	0.00	7,462.79
Q3 2028	7.29	2.92	7,463.55
Q4 2028	7.30	2.92	7,464.31
Q1 2029	7.30	2.05	7,466.64
Q2 2029	7.30	0.00	7,472.64
Q3 2029	7.30	2.92	7,473.40
Q4 2029	7.31	2.92	7,474.16
Q1 2030	7.31	2.92	7,474.92
Q2 2030	7.31	2.05	7,477.23
Q3 2030	7.31	2.70	7,478.40
Q4 2030	7.31	0.88	7,482.83

MODEL | TAX AND CASH BRIDGE

Operating profit and common earnings differ

The established valuation uses operating profit. Net income still matters for cash generation, funding and dividends. The forecast excludes discrete OpenAI investment marks while retaining ordinary interest, taxes and finance-lease interest.

Positive recurring pretax income uses20% book and cash tax assumptions. No future valuation-allowance release or investment gain finances operations. Book and cash taxes are shown independently even where the selected proxy rates currently match.

Non-GAAP Reconciliation | Impact from investments in OpenAI

Three Months Ended September 30,

($ in millions, except per share amounts)	2026 As Reported (GAAP)	2026 Adjustment*	2026 As Adjusted (non-GAAP)	2025 As Reported (GAAP)	2025 Adjustment*	2025 As Adjusted (non-GAAP)	Percentage Change Y/Y GAAP	Constant Currency	Non-GAAP	Non-GAAP Constant Currency
Other income and expense	**$38**	$(272)	**$(234)**	**$(3,660)**	$4,061	**$401**	–	–	–	–
Effective tax rate	20%	0 pts	20%	19%	1 pt	20%	1 pt	–	1 pt	–
Net income	**$36,629**	$(207)	**$36,422**	**$27,747**	$3,086	**$30,833**	32%	33%	18%	19%
Diluted earnings per share	**$4.92**	$(0.03)	**$4.89**	**$3.72**	$0.41	**$4.13**	32%	33%	18%	19%

*Adjustment is the impact from investments in OpenAI

The non-GAAP measures adjust for the impact from investments in OpenAI. We believe these non-GAAP measures aid investors by providing additional insight into our operational performance and help clarify trends affecting our business. For comparability of reporting, management considers non-GAAP measures in conjunction with GAAP financial results when evaluating business performance. The non-GAAP financial measures should not be considered as a substitute for, or superior to, the measures of financial performance prepared in accordance with GAAP. 14

M21, slide14. Issuer reconciliation of OpenAI investment effects. These marks do not alter the sanctioned operating-profit valuation.

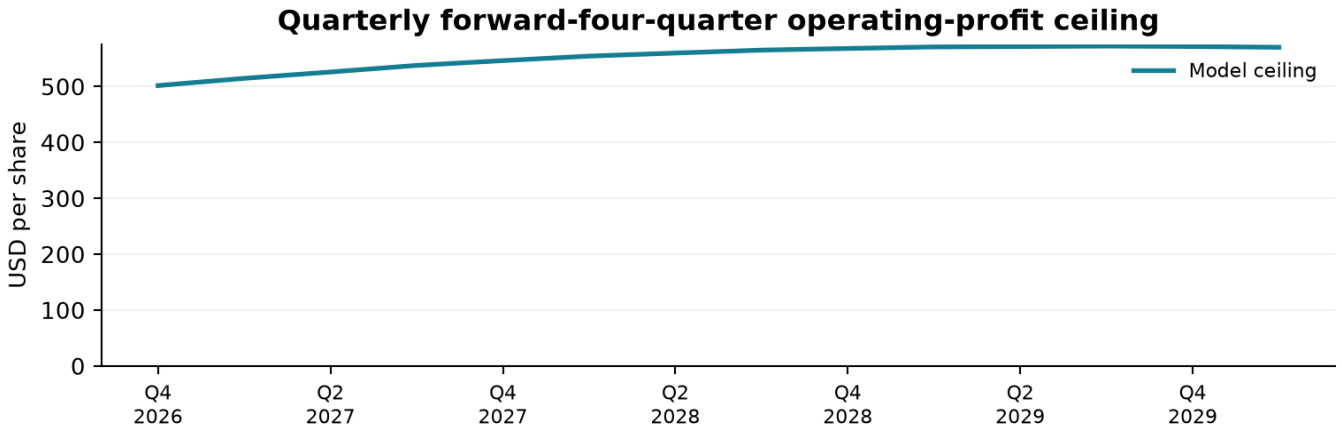
Quarter	OP	Recurring other income	Pretax	Book tax	Recurring net income
Q4 2026	45.20	-0.30	44.90	8.98	35.92
Q1 2027	44.32	-0.37	43.94	8.79	35.16
Q2 2027	46.97	-0.57	46.40	9.28	37.12
Q3 2027	50.15	-0.86	49.29	9.86	39.43
Q4 2027	50.00	-0.93	49.07	9.81	39.26
Q1 2028	48.55	-1.05	47.50	9.50	38.00
Q2 2028	51.36	-1.24	50.12	10.02	40.10
Q3 2028	53.34	-1.52	51.82	10.36	41.46
Q4 2028	53.00	-1.51	51.49	10.30	41.19
Q1 2029	50.57	-1.58	48.99	9.80	39.19
Q2 2029	53.33	-1.73	51.60	10.32	41.28
Q3 2029	54.42	-1.93	52.48	10.50	41.98
Q4 2029	54.04	-1.85	52.18	10.44	41.75
Q1 2030	50.81	-1.86	48.95	9.79	39.16
Q2 2030	53.64	-1.97	51.67	10.33	41.34
Q3 2030	54.12	-2.13	51.99	10.40	41.60
Q4 2030	53.52	-1.98	51.55	10.31	41.24

VALUATION | 20x FORWARD-FOUR-QUARTER OP

The quarterly ceiling path

Each displayed current or future ceiling prices its own quarter plus the next three quarters. It is generated from the approved operating build and the fixed multiple/share convention. Three trailing quarters lack a complete forward window and remain blank.

The path flattens as new asset cohorts, leases and recurring development costs accumulate. A later calendar date does not automatically create a higher intrinsic ceiling. Historical forecasts remain dated records in the preserved workbook display.



Complete current and future windows only. Active quarter is Q4 2027; amounts are model ceilings under the retained operating-profit convention.

Ceiling quarter	Window end	F4Q OP B	Multiple	Shares M	USD/share
Q4 2026	Q3 2027	186.63	20	7,443	501.50
Q1 2027	Q4 2027	191.43	20	7,443	514.40
Q2 2027	Q1 2028	195.66	20	7,443	525.76
Q3 2027	Q2 2028	200.05	20	7,443	537.56
Q4 2027	Q3 2028	203.24	20	7,443	546.13
Q1 2028	Q4 2028	206.24	20	7,443	554.20
Q2 2028	Q1 2029	208.27	20	7,443	559.64
Q3 2028	Q2 2029	210.24	20	7,443	564.93
Q4 2028	Q3 2029	211.31	20	7,443	567.82
Q1 2029	Q4 2029	212.35	20	7,443	570.61
Q2 2029	Q1 2030	212.59	20	7,443	571.26
Q3 2029	Q2 2030	212.91	20	7,443	572.10
Q4 2029	Q3 2030	212.62	20	7,443	571.32
Q1 2030	Q4 2030	212.10	20	7,443	569.93

MODEL | CONDITIONAL OPERATING AND FUNDING OUTCOMES

Four coherent paths remain auditable

The model changes paid conversion and incremental usage while preserving the associated costs and cash commitments. Probability weighting happens after each complete path has been calculated. This matters when financing caps, cash floors and buybacks are nonlinear.

The four tables later in this document show the operating profit, cash flow, liquidity and debt path used by each state. Correlation tests alter the joint distribution while holding the two marginal probabilities fixed.

Path	Probability	Q4 2027 ceiling	Minimum liquidity B	Cumulative new debt B
conversion_core	28.0%	555.34	10.00	21.96
conversion_usage	42.0%	556.71	10.00	21.08
lower_core	12.0%	521.91	10.00	45.17
lower_usage	18.0%	523.29	10.00	43.78

SCORECARD | PROTECTED EXCEL BASE87

Analytical score:45/60 =75

The score reflects platform durability and current monetization evidence, together with the larger capital and funding burden. Core thesis17, cycle9, TAM10, catalysts4, macro8, alpha2 and risks minus5 sum to 45 of 60. The protected Excel Base remains87.

Information asymmetry remains limited by broad public coverage. More detailed financial disclosure improves the model without automatically increasing the alpha score.

Category	Points	Reason
Core thesis	17/20	Enterprise distribution, identity, data and integrated workflow support capture; customers retain alternatives.
Cycle stage	9/10	Paid cloud and agent adoption remain in a fast infrastructure ramp.
TAM expansion	10/10	Infrastructure, software and broader agent workflows expand across application layers.
Catalysts	4/5	Capacity conversion, premium monetization, new fiscal-quarter results and deployment efficiency.
Macro	8/10	Long-run enterprise AI demand is strong; power, costs and budgets still constrain conversion.
Alpha	2/5	Widely followed platform; disclosure is public.
Risks	-5	Capacity/lease/funding2; customer/model/pricing1; security/regulation1; deployment/monetization1.

MONITORING | OPERATIONS, CONTRACTS AND CASH

Risks and falsification tests

The model needs paid capacity conversion, durable price realization and continued enterprise adoption. Cut the affected operating assumptions when utilization, bookings conversion, renewal economics or delivered capacity contradict them.

Watch Azure reported and constant-currency growth, Microsoft365 cloud ARPU and seats, engineering efficiency timing, cloud gross margin, RPO duration/customer mix, supplier receivables, restricted investments, lease commencements and actual financing terms.

A wider cash deficit, expensive funding, lower utilization or a larger short-lived asset mix can impair economics even when headline demand remains strong. Security failures and regulation can affect enterprise trust, distribution and cost.

Test	Model implication
Azure conversion falls below the selected path	Reduce paid growth; retain committed costs until evidence supports reduction.
M365 usage rises with weak cash margin	Raise compute/support cost or reduce monetization increment.
Supplier receivables recover later	Delay investing cash recovery and retest liquidity.
Capital or lease starts exceed forecast	Add finite asset/cash costs and funding requirements.
Customer or model concentration rises	Reassess contracts, conversion probability and credit exposure.
Financing access weakens	Run borrowing caps and adjust feasible investment timing.

CONTEXT | COMMON DEMAND WITHOUT DUPLICATE REVENUE

Cross-book transmission

Microsoft investment supports demand for compute, memory, storage, networking, optical infrastructure, power and construction. Each supplier needs its own qualified share, realized price, cost and recognition bridge. Microsoft capex is not directly imported as revenue for every supplier.

Azure competes with AWS and Google Cloud; model providers can be customers, partners and competitors at the same time. Efficient internal silicon can change supplier mix without reducing Microsoft workload growth. These relationships inform the company-specific reviews elsewhere in the queue.

EVIDENCE | WHAT WAS READ

Source coverage and remaining gaps

The review uses the newest two complete issuer call texts and Q&A, the October release, current quarterly filing, issuer financial workbook, product metrics and presentation/outlook originals. The latest transcript includes an audio break in the first analyst question; management answers and later Q&A are present. Audio was not independently transcribed.

Current product margins, GPU/CPU workload mix, usable MW, token prices and utilization remain undisclosed. Future product cash-cost allocations, supplier advance timing, lease commencements and market borrowing are clearly labeled estimates. Source disagreements retain their original dates and measurement scope.

The complete quarterly filing was preserved from the issuer original document after the direct SEC HTML route returned403. This is a source-delivery gap, with the original issuer filing available for review.

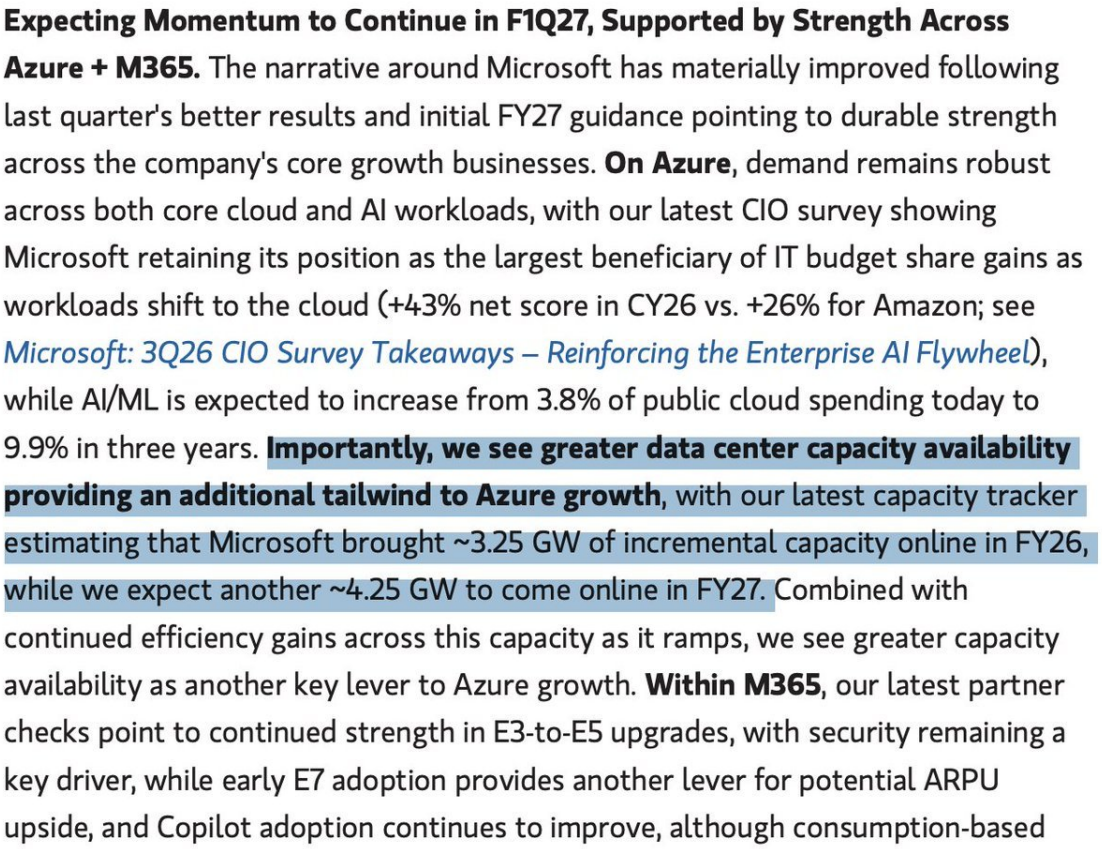
ID	Document / date
M01	FY2027 Q1 release, October28 2026
M02	FY2027 Q1 full issuer call and Q&A, October28
M03	FY2026 Q4 full issuer call and Q&A, July29
M21	FY2027 Q1 issuer slides, October28
M22	FY2027 Q2 outlook slides, October28
M23	Issuer financial workbook and recast product history
M24	Current10-Q issuer original; quarter ended September30
M25	Issuer original transcript document

ORIGINAL OWNER EVIDENCE | BOUNDED DISPOSITION

Capacity breadcrumbs require a matched denominator

The preserved cropped capacity and monetization image provides qualitative context. Its publisher/date, power definition and missing final continuation remain unresolved. A difference between facility additions does not establish extra external Azure revenue above the active growth path.

The current source-supported Azure forecast already includes faster efficiency and monetization. The earlier30% probability/75% overlap capacity proxy remains a documented diagnostic with zero additional active revenue. A dated full note, usable capacity, external share and matched costs could change that disposition.



Expecting Momentum to Continue in F1Q27, Supported by Strength Across Azure + M365. The narrative around Microsoft has materially improved following last quarter's better results and initial FY27 guidance pointing to durable strength across the company's core growth businesses. **On Azure**, demand remains robust across both core cloud and AI workloads, with our latest CIO survey showing Microsoft retaining its position as the largest beneficiary of IT budget share gains as workloads shift to the cloud (+43% net score in CY26 vs. +26% for Amazon; see *Microsoft: 3Q26 CIO Survey Takeaways – Reinforcing the Enterprise AI Flywheel*), while AI/ML is expected to increase from 3.8% of public cloud spending today to 9.9% in three years. **Importantly, we see greater data center capacity availability providing an additional tailwind to Azure growth**, with our latest capacity tracker estimating that Microsoft brought ~3.25 GW of incremental capacity online in FY26, while we expect another ~4.25 GW to come online in FY27. Combined with continued efficiency gains across this capacity as it ramps, we see greater capacity availability as another key lever to Azure growth. **Within M365**, our latest partner checks point to continued strength in E3-to-E5 upgrades, with security remaining a key driver, while early E7 adoption provides another lever for potential ARPU upside, and Copilot adoption continues to improve, although consumption-based

Original owner-supplied capacity excerpt, unchanged. Publisher/date and complete continuation unavailable. The source image is retained beside its economic interpretation.

FULL NUMERICAL APPENDIX | USD BILLIONS

Asset and lease schedule

Quarter	Owned PP&E	Finance PP&E	Operating ROU	Operating liability	Finance liability
Q4 2026	308.10	77.36	38.43	35.93	76.22
Q1 2027	344.46	83.46	48.38	46.07	82.86
Q2 2027	385.15	89.89	59.96	57.86	89.86
Q3 2027	424.05	96.66	71.15	69.64	97.17
Q4 2027	463.15	103.26	81.94	81.03	104.35
Q1 2028	502.37	109.68	92.34	92.02	111.37
Q2 2028	541.65	115.93	102.33	102.61	118.24
Q3 2028	579.94	123.00	111.91	113.08	126.14
Q4 2028	617.20	129.87	121.09	123.15	133.87
Q1 2029	653.40	136.56	129.86	132.81	141.43
Q2 2029	688.52	143.05	138.20	142.05	148.82
Q3 2029	722.51	149.35	146.13	151.00	156.07
Q4 2029	755.35	155.45	153.64	159.53	163.14
Q1 2030	787.00	161.36	160.71	167.63	170.04
Q2 2030	817.42	167.09	167.36	175.30	176.76
Q3 2030	846.59	172.61	173.56	182.64	183.31
Q4 2030	874.47	177.95	179.33	189.53	189.67

Source and model classifications match the cash bridge. Amounts use probability-weighted complete paths.

FULL NUMERICAL APPENDIX | USD BILLIONS

Lease expense and cash

Quarter	Operating expense	Operating cash	Finance interest	Finance principal
Q4 2026	2.08	1.88	0.84	1.25
Q1 2027	2.48	2.29	0.90	1.37
Q2 2027	2.96	2.76	0.98	1.50
Q3 2027	3.48	2.88	1.06	1.68
Q4 2027	3.99	3.40	1.14	1.83
Q1 2028	4.51	3.91	1.22	1.98
Q2 2028	5.02	4.43	1.30	2.13
Q3 2028	5.54	4.65	1.39	2.10
Q4 2028	6.05	5.16	1.48	2.27
Q1 2029	6.57	5.68	1.56	2.44
Q2 2029	7.08	6.19	1.65	2.61
Q3 2029	7.60	6.57	1.73	2.75
Q4 2029	8.12	7.09	1.81	2.93
Q1 2030	8.63	7.60	1.89	3.10
Q2 2030	9.15	8.12	1.97	3.28
Q3 2030	9.66	8.54	2.04	3.45
Q4 2030	10.18	9.05	2.12	3.63

Source and model classifications match the cash bridge. Amounts use probability-weighted complete paths.

FULL NUMERICAL APPENDIX | USD BILLIONS

Operating expense components

Quarter	R&D	Sales / marketing	G&A	SBC included	PPA included
Q4 2026	10.25	6.29	2.01	3.13	0.71
Q1 2027	10.96	6.51	2.01	3.19	0.71
Q2 2027	12.34	7.26	2.36	3.26	0.71
Q3 2027	11.73	5.75	1.95	3.32	0.54
Q4 2027	12.50	6.62	2.09	3.38	0.54
Q1 2028	13.33	6.85	2.09	3.45	0.54
Q2 2028	14.86	7.63	2.46	3.52	0.54
Q3 2028	14.22	6.04	2.04	3.59	0.49
Q4 2028	15.06	6.95	2.18	3.66	0.49
Q1 2029	15.96	7.19	2.18	3.73	0.49
Q2 2029	17.62	8.02	2.58	3.80	0.49
Q3 2029	16.88	6.34	2.13	3.87	0.37
Q4 2029	17.78	7.30	2.28	3.95	0.37
Q1 2030	18.75	7.55	2.28	4.02	0.37
Q2 2030	20.55	8.42	2.69	4.10	0.37
Q3 2030	19.72	6.66	2.23	4.18	0.29
Q4 2030	20.69	7.66	2.38	4.26	0.29

Source and model classifications match the cash bridge. Amounts use probability-weighted complete paths.

FULL NUMERICAL APPENDIX | USD BILLIONS

Working-capital balances

Quarter	Receivables	Inventory	Prepaids	Payables	Accruals	Unearned revenue
Q4 2026	58.19	2.03	23.03	18.32	20.73	69.52
Q1 2027	59.57	2.07	23.57	18.77	21.77	67.20
Q2 2027	94.11	2.22	25.60	20.06	24.54	90.17
Q3 2027	73.19	2.35	26.55	21.28	21.72	83.93
Q4 2027	70.14	2.48	27.75	22.47	23.70	83.79
Q1 2028	71.33	2.50	28.23	22.66	24.88	80.48
Q2 2028	111.92	2.66	30.45	24.10	27.88	107.24
Q3 2028	85.71	2.78	31.09	25.11	24.92	98.28
Q4 2028	81.73	2.91	32.34	26.35	27.03	97.63
Q1 2029	82.38	2.92	32.60	26.40	28.31	92.94
Q2 2029	128.31	3.08	34.91	27.90	31.53	122.94
Q3 2029	97.16	3.17	35.24	28.69	28.33	111.42
Q4 2029	92.38	3.32	36.56	30.01	30.57	110.36
Q1 2030	92.59	3.31	36.64	29.93	31.93	104.46
Q2 2030	143.60	3.49	39.07	31.54	35.38	137.59
Q3 2030	108.10	3.56	39.21	32.20	31.97	123.96
Q4 2030	102.43	3.71	40.53	33.53	34.34	122.36

Source and model classifications match the cash bridge. Amounts use probability-weighted complete paths.

FULL NUMERICAL APPENDIX | USD BILLIONS

Funding and shareholder cash

Quarter	Supplier advances	Supplier recovery	OpenAI investment	Dividends	Buybacks	New debt
Q4 2026	11.00	8.93	1.00	7.28	2.92	0.00
Q1 2027	12.00	8.93	0.00	7.28	2.92	0.00
Q2 2027	13.50	8.93	0.00	7.29	2.92	0.00
Q3 2027	13.50	8.93	0.00	7.29	2.92	0.00
Q4 2027	14.00	11.00	0.00	7.29	2.92	0.00
Q1 2028	14.50	12.00	0.00	7.29	0.00	5.32
Q2 2028	15.00	13.50	0.00	7.29	0.00	15.55
Q3 2028	15.25	13.50	0.00	7.29	2.92	0.00
Q4 2028	15.50	14.00	0.00	7.30	2.92	0.00
Q1 2029	15.75	14.50	0.00	7.30	2.05	0.50
Q2 2029	16.00	15.00	0.00	7.30	0.00	6.86
Q3 2029	16.25	15.25	0.00	7.30	2.92	0.00
Q4 2029	16.50	15.50	0.00	7.31	2.92	0.00
Q1 2030	16.75	15.75	0.00	7.31	2.92	0.00
Q2 2030	17.00	16.00	0.00	7.31	2.05	0.06
Q3 2030	17.25	16.25	0.00	7.31	2.70	0.00
Q4 2030	17.50	16.50	0.00	7.31	0.88	0.00

Source and model classifications match the cash bridge. Amounts use probability-weighted complete paths.

STATE APPENDIX | 28.0%

Conditional path: conversion_core

This path retains its complete operating, asset and financing calculations before probability weighting. Forecast values are USD billions, with the sanctioned fixed valuation share count.

Quarter	Revenue	OP	CFO	FCF	Usable cash	Debt face
Q4 2026	96.55	45.20	58.82	14.82	58.43	39.80
Q1 2027	99.37	44.77	50.36	2.36	43.73	38.34
Q2 2027	107.91	47.44	47.29	-6.71	18.31	36.87
Q3 2027	111.78	50.55	73.60	19.60	20.45	36.87
Q4 2027	116.85	50.42	68.18	12.18	16.57	36.87
Q1 2028	119.52	49.54	61.09	3.09	10.00	40.03
Q2 2028	128.88	52.39	57.15	-2.85	10.00	54.88
Q3 2028	131.51	54.33	87.61	26.61	20.92	54.38
Q4 2028	136.76	53.99	80.24	18.24	23.51	53.88
Q1 2029	138.64	52.23	71.43	8.43	16.34	53.39
Q2 2029	148.35	55.01	66.33	2.33	10.00	56.84
Q3 2029	149.66	56.01	100.37	35.37	30.14	56.84
Q4 2029	155.16	55.63	91.35	25.35	40.04	56.84
Q1 2030	156.40	53.15	80.99	13.99	38.36	56.84
Q2 2030	166.60	56.01	74.93	6.93	29.41	56.84
Q3 2030	167.06	56.36	112.67	43.67	57.18	56.71
Q4 2030	172.57	55.74	101.94	31.94	75.61	56.59

STATE APPENDIX | 42.0%

Conditional path: conversion_usage

This path retains its complete operating, asset and financing calculations before probability weighting. Forecast values are USD billions, with the sanctioned fixed valuation share count.

Quarter	Revenue	OP	CFO	FCF	Usable cash	Debt face
Q4 2026	96.55	45.20	58.82	14.82	58.43	39.80
Q1 2027	99.37	44.77	50.36	2.36	43.73	38.34
Q2 2027	107.91	47.44	47.29	-6.71	18.31	36.87
Q3 2027	111.95	50.67	73.71	19.71	20.57	36.87
Q4 2027	117.02	50.54	68.28	12.28	16.78	36.87
Q1 2028	119.69	49.66	61.18	3.18	10.00	39.72
Q2 2028	129.07	52.52	57.24	-2.76	10.00	54.48
Q3 2028	131.70	54.46	87.75	26.75	21.06	53.98
Q4 2028	136.96	54.13	80.36	18.36	23.77	53.49
Q1 2029	138.85	52.37	71.54	8.54	16.72	52.99
Q2 2029	148.57	55.16	66.44	2.44	10.00	55.96
Q3 2029	149.88	56.17	100.53	35.53	30.29	55.96
Q4 2029	155.39	55.79	91.50	25.50	40.34	55.96
Q1 2030	156.63	53.31	81.12	14.12	38.79	55.96
Q2 2030	166.85	56.18	75.05	7.05	29.96	55.96
Q3 2030	167.30	56.53	112.85	43.85	57.91	55.84
Q4 2030	172.82	55.91	102.10	32.10	76.50	55.71

STATE APPENDIX | 12.0%

Conditional path: lower_core

This path retains its complete operating, asset and financing calculations before probability weighting. Forecast values are USD billions, with the sanctioned fixed valuation share count.

Quarter	Revenue	OP	CFO	FCF	Usable cash	Debt face
Q4 2026	96.55	45.20	58.82	14.82	58.43	39.80
Q1 2027	97.57	43.27	49.21	1.21	42.59	38.34
Q2 2027	106.02	45.86	46.23	-7.77	16.11	36.87
Q3 2027	109.89	48.98	72.07	18.07	16.72	36.87
Q4 2027	114.90	48.79	66.81	10.81	11.47	36.87
Q1 2028	115.27	45.99	58.36	0.36	10.00	47.86
Q2 2028	124.45	48.69	54.62	-5.38	10.00	65.23
Q3 2028	127.25	50.77	84.06	23.06	17.38	64.74
Q4 2028	132.47	50.41	77.15	15.15	16.89	64.24
Q1 2029	131.70	46.42	66.89	3.89	10.00	65.64
Q2 2029	141.26	49.09	62.24	-1.76	10.00	79.53
Q3 2029	142.91	50.38	94.69	29.69	24.45	79.53
Q4 2029	148.42	50.00	86.44	20.44	29.43	79.53
Q1 2030	146.68	45.04	74.55	7.55	21.32	79.53
Q2 2030	156.76	47.78	69.13	1.13	10.00	80.05
Q3 2030	157.71	48.56	104.73	35.73	29.51	79.92
Q4 2030	163.31	48.01	95.13	25.13	38.20	79.80

STATE APPENDIX | 18.0%

Conditional path: lower_usage

This path retains its complete operating, asset and financing calculations before probability weighting. Forecast values are USD billions, with the sanctioned fixed valuation share count.

Quarter	Revenue	OP	CFO	FCF	Usable cash	Debt face
Q4 2026	96.55	45.20	58.82	14.82	58.43	39.80
Q1 2027	97.57	43.27	49.21	1.21	42.59	38.34
Q2 2027	106.02	45.86	46.23	-7.77	16.11	36.87
Q3 2027	110.06	49.09	72.18	18.18	16.83	36.87
Q4 2027	115.07	48.91	66.91	10.91	11.68	36.87
Q1 2028	115.44	46.11	58.46	0.46	10.00	47.55
Q2 2028	124.64	48.82	54.71	-5.29	10.00	64.84
Q3 2028	127.44	50.90	84.20	23.20	17.51	64.34
Q4 2028	132.67	50.55	77.27	15.27	17.14	63.84
Q1 2029	131.90	46.57	67.00	4.00	10.00	64.87
Q2 2029	141.48	49.24	62.35	-1.65	10.00	78.66
Q3 2029	143.13	50.53	94.85	29.85	24.61	78.66
Q4 2029	148.64	50.16	86.58	20.58	29.73	78.66
Q1 2030	146.91	45.20	74.69	7.69	21.75	78.66
Q2 2030	157.00	47.95	69.25	1.25	10.00	78.66
Q3 2030	157.95	48.72	104.91	35.91	29.69	78.53
Q4 2030	163.56	48.18	95.30	25.30	38.54	78.41

MODEL RECORD | CURRENT RESEARCH

Reproducibility and source register

The linked model retains full precision, source identifiers, selected inputs, state probabilities, asset cohorts, cash bridges, historical display rows and the calculated valuation windows. Source material remains available locally with content hashes. Current report figures and tables use this exact selected model.

Original-named PDF, editable source and linked spreadsheet are synchronized on publication. Historical source records and previous financial vintages remain recoverable separately.

Source	Public location
Latest release	https://www.microsoft.com/en-us/investor/earnings/fy-2027-q1/press-release-webcast
Latest call	https://www.microsoft.com/en-us/investor/events/fy-2027/earnings-fy-2027-q1
Previous call	https://www.microsoft.com/en-us/investor/events/fy-2026/earnings-fy-2026-q4
Financial statements	https://www.microsoft.com/en-us/investor/earnings/fy-2027-q1/financial-statements
Q1 slide original	https://cdn-dynmedia-1.microsoft.com/is/content/microsoftcorp/SlidesFY27q1.pptx
Outlook original	https://cdn-dynmedia-1.microsoft.com/is/content/microsoftcorp/OutlookFY27Q2.pptx